

But 12% annually? *PUH-leeze*. If you promised that in a mutual fund advertisement the SEC would throw your ass in jail.

2. Inflation adjust it

Note that the \$350,000 is in nominal, not inflation-adjusted dollars. By the year 2065, assuming a modest 2–3% inflation rate, \$300k won't be all that big of a number.

For some perspective, back in the 80s, the median house cost about \$62,000 (it's over \$420,000 today), and the median income was under \$20,000 (it's \$80,610 today). In 2065, you should expect \$300,000 to be about \$90,000 in 2025 dollars.

Inflation-adjusting the returns of not buying yourself a cup of coffee every day for 40 years reveals it is not a lot of money. Maybe you can buy yourself an okay car—assuming anyone is even buying cars in 2065...

3. Remove the denominator blindness

Numbers out of context are misleading, and this one is no exception. Instead, frame it via its relationship with other related items. In this case, that six-figure latte compounded appreciation should be put into context relative to the rest of your earnings and/or portfolio appreciation.

It requires a meaningful denominator.

Over the next 40 years, a moderate-sized portfolio plus contributions and appreciation can add up to millions of dollars. And a person's lifetime earnings? If you earn the median income of \$80,610—and never receive a raise for 40 years—that adds up to \$3,224,400. If you get a mere 3% raise annually, that's over \$6.5 million (\$6,531,280); 5% annual raises lead to over \$11 million in cumulative gross earnings.^{[449](#)}

Comparing \$350,000 (or \$90,000 inflation-adjusted) out of \$5 or \$10 million lifetime earnings shows how insignificant a daily cup of cappuccino is.